

# Fearnleys Dry Bulk Market Outlook

Jun 2, 2025



## SUMMARY AND OUTLOOK

Our view remains that this year will see lower earnings averages than in 2023. Market fundamentals remain sluggish, with shipment volume growth now comparable to years like 2016, 2020, and 2022. We do not expect growth to increase this year, as too many factors weigh heavily.

Coal is where fundamentals are weakest, as record-high inventories in China, along with increasing power generation from other energy sources like renewables, continue to suppress seaborne demand. Using coal prices as a guide for where we are in the coal market cycle, there could still be a way to go before the bottom is in, as price levels remain above the lows of 2020, 2016, and 2009.

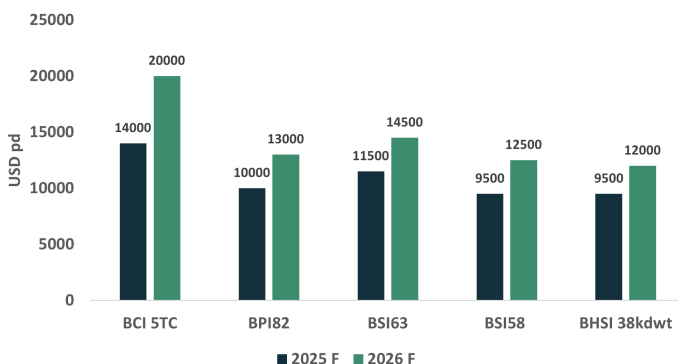
Seaborne iron ore demand is lower than last year, though it is far from as bad as coal. The two main factors suppressing demand are inventory levels in China and weak fundamentals in Europe, Japan, and Korea. Regarding China, underlying fundamentals are actually better than last year, as imported iron ore consumption has averaged 2.9 million tons per day year-to-date vs 2.75 million tons per day through the same period in 2024. Should iron ore inventories in China be drawn down to the lows of 2023, another 40 million tons remain at ports plus steel mills before the inventory cycle has bottomed.

Minor bulks demand has been strong in the last year, driven primarily by Bauxite and steel exports from China. Economic growth indices published by the OECD have shown a significant upturn in growth since the middle of 2024. Most of that has been due to the service sector, which, according to the latest PMI reports, has started to weaken. The indices provided by the OECD are at levels comparable to 2021 and 2017, which were both cycle peaks. Although Bauxite demand is likely to remain strong, growth in other minor bulk shipments could decrease over the next year, should the global economy be at a cycle top.

Grains shipments have been slightly lower this year than last year, as very low volumes from the Black Sea have offset higher volumes from Brazil and the US. The higher volumes from Brazil and the US mean grains ton-miles are up on last year, though. The autumn Soybean shipment season from the US is the main uncertainty going forward. Trump (or rather his advisors?) fortunately came to his senses and at least went back on his embargo policies. However, everything could still happen in that regard, as shown by his recent threat of imposing a 50% tariff on the EU (which he also went back on). The way things stand at the time of writing, the effect of Trump's policies is probably a slight negative for dry bulk markets due to the 'uncertainty' it causes, although that factor is impossible to measure.

We still expect fundamentals to improve in 2026. A lot of factors are moving in the right direction in that respect. Seaborne iron ore fundamentals are likely to bottom in Q4 this year, whereas coal and minor bulks fundamentals are not likely to bottom before Q1 next year, or maybe even Q2. That means there could be a slow start to the next upcycle, then an acceleration during 2H 2026, with fundamentals subsequently remaining strong through 2027 and probably during parts of 2028.

### Earnings Averages



### Dry Bulk Shipment Volume Growth vs Supply Growth (All Segments)





## Fleet Statistics (In Million DWT)

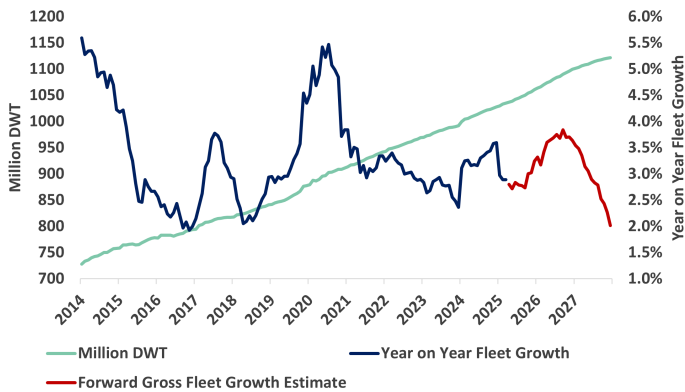
|                        | Total Fleet | CapeNewc | Pmx/Kmx | Smx/Hmx | Handy |
|------------------------|-------------|----------|---------|---------|-------|
| 2024                   |             |          |         |         |       |
| Deliveries             | 32          | 7.7      | 8.8     | 10.2    | 5.3   |
| Scrapping              | 3.3         | 0.7      | 1.4     | 0       | 1.1   |
| Fleet Growth           | 3.0%        | 1.9%     | 3.0%    | 5.0%    | 3.0%  |
| 2025 YTD               |             |          |         |         |       |
| Deliveries             | 14.3        | 3.2      | 3.2     | 5.4     | 2.3   |
| Remaining on Schedule  | 24.5        | 4.6      | 8       | 8.2     | 3.7   |
| Scrapping              | 1.7         | 0.3      | 0.9     | 0       | 0.5   |
| YoY Fleet Growth (May) | 3.2%        | 1.6%     | 2.6%    | 5.5%    | 4.0%  |
|                        |             |          |         |         |       |
|                        |             |          |         |         |       |
|                        |             |          |         |         |       |



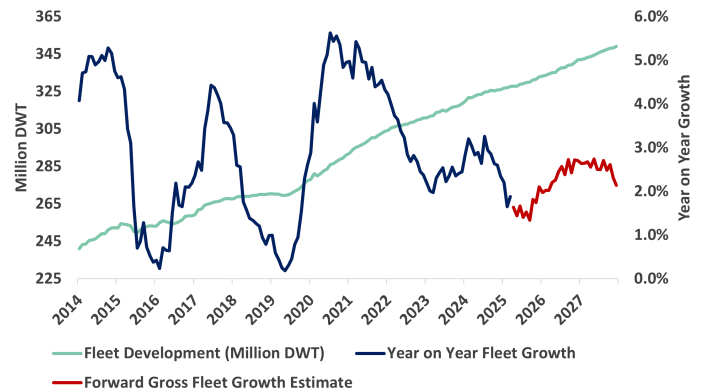


## Fleet Growth and Forward Estimates

### Total Fleet Growth Including Estimate



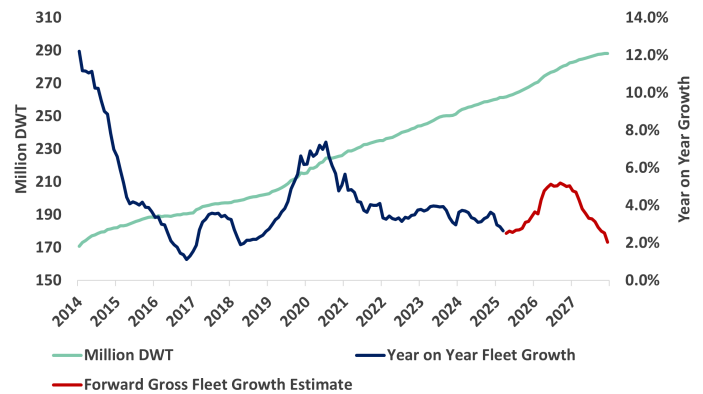
### Cape/Newc Fleet Growth Including Estimate



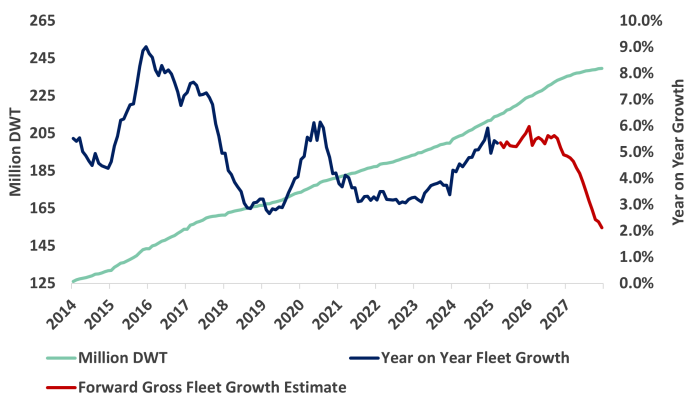
### VLOC Fleet Growth Including Estimate



### Panamax/Kamsarmax Fleet Growth Including Estimate



### Supramax/Ultramax Fleet Growth Including Estimate



### Handysize Fleet Growth Including Estimate



## PERIOD RATES AND ASSET VALUES

The correlation between 1-year time charter rates and second-hand values still suggests that either values have to fall, or that 1-year time charter rates have to rise. In order to bring the correlation back to normal, we think the following have to happen:

### Capesize:

A 10-year-old vessel has to fall to the mid-30 million, or the 1-year-TC rate has to rise to the mid twenty thousands.

### Kamsarmax:

A 10-year-old vessel has to fall to the high teens, or the 1-year-TC rate has to rise to the high teens.

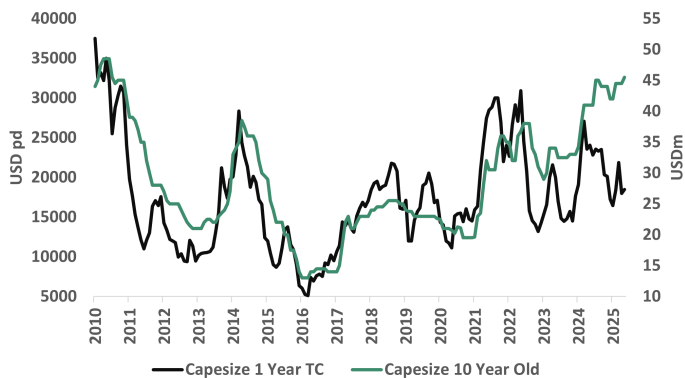
### Supramax:

A 10-year-old vessel has to fall to the high teens, or the 1-year-TC rate has to rise to the high teens.

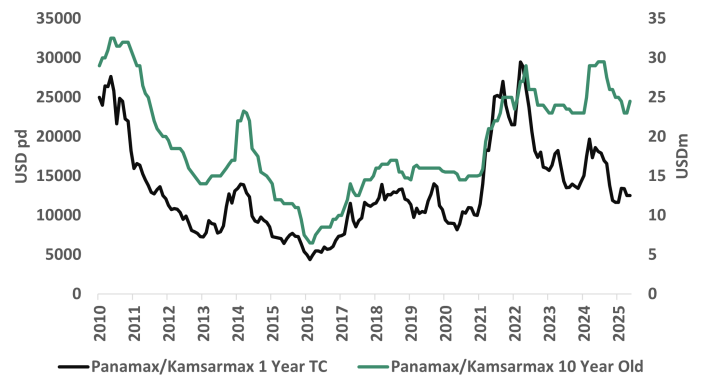
### Handysize:

A 10-year-old vessel has to fall to the mid-teens, or the 1-year-TC rate has to rise to the mid teens.

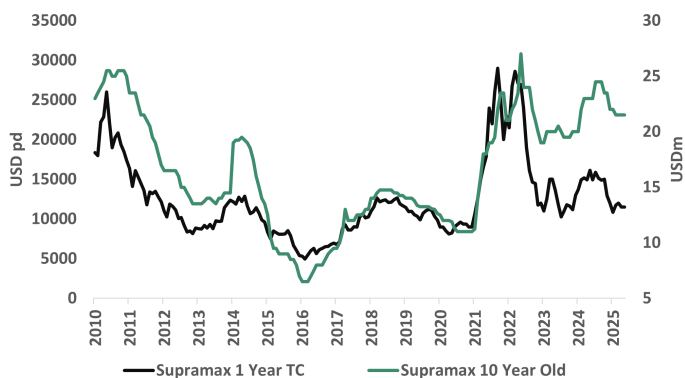
**Capesize 1 Year TC vs Capesize 10 Year Old (Japanese)**



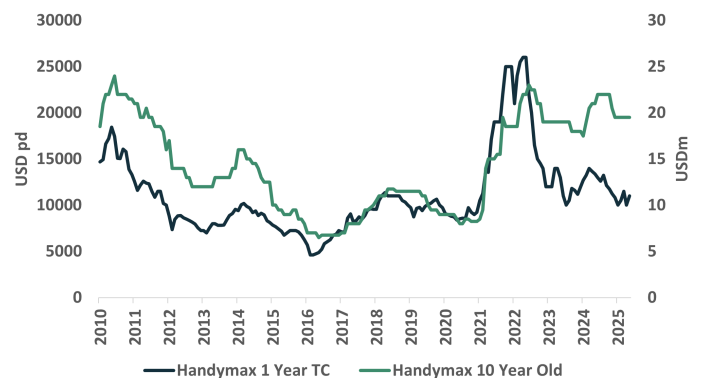
**Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old (Japanese)**



**Supramax 1 Year TC vs Supramax 10 Year Old (Japanese)**



**Handysize 1 Year TC vs Handysize 10 Year Old (Japanese)**

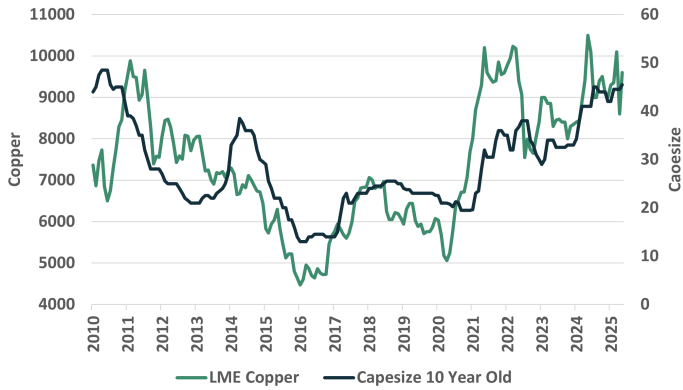




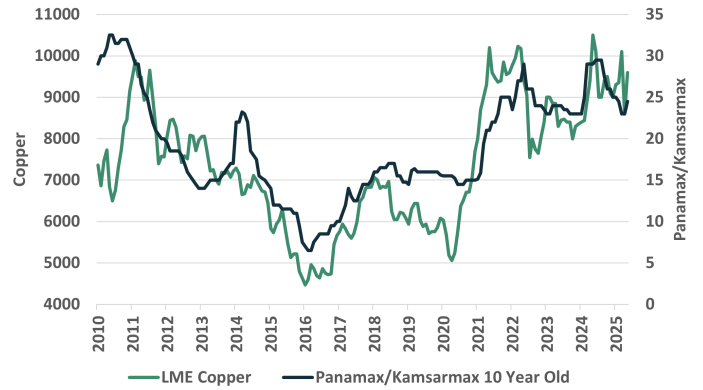
## Asset Values vs Commodity Prices

Industrial metal prices often precede the change in second-hand values by around six months. The charts below display the price of copper against second-hand values since 2014. The correlation is high because the price of copper is a barometer of industrial activity and also reflects inflationary or deflationary periods. Copper and other industrial metals are suggesting continued support for asset values.

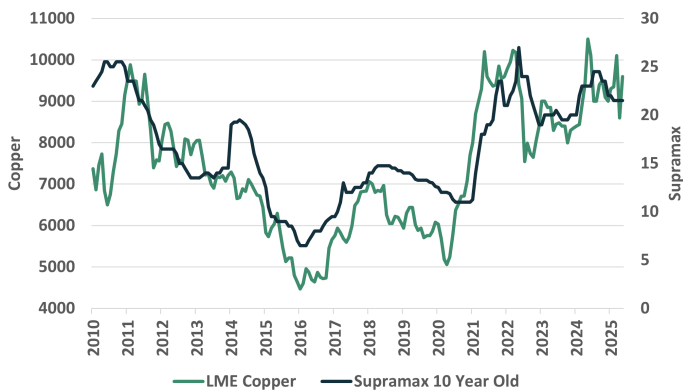
### Copper Price vs Capesize 10 Year Old



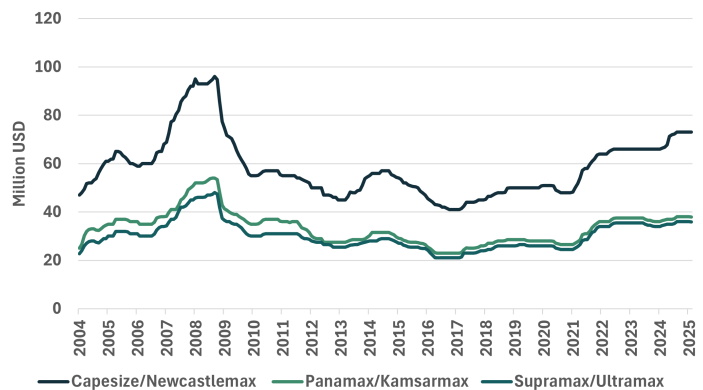
### Copper Price vs Kamsarmax 10 Year Old



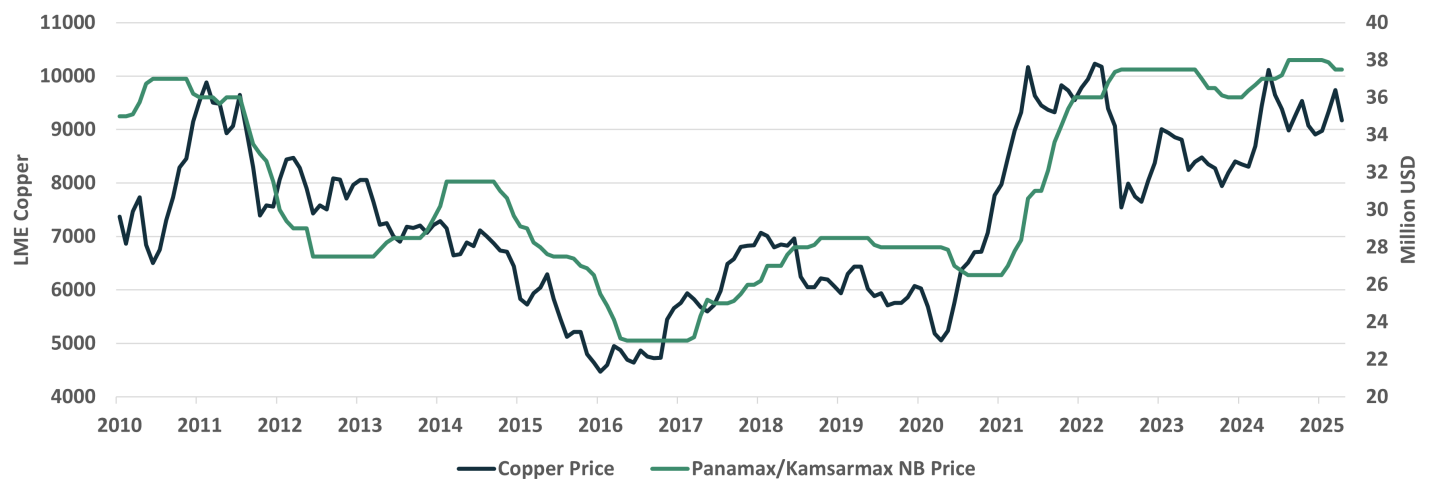
### Copper Price vs Supramax 10 Year Old



### Dry Bulk Newbuilding Prices



### LME Copper Price vs Panamax/Kamsarmax NB Price





## TRADE FLOWS (Data for May is not complete yet)

|        | Iron Ore | Coal | Grains | Others | Total |
|--------|----------|------|--------|--------|-------|
| Jan-24 | 3%       | 8%   | 2%     | 2.0%   | 4%    |
| Feb-24 | 6%       | 10%  | 13%    | 4.9%   | 8%    |
| Mar-24 | 3%       | -7%  | 4%     | 1.7%   | 1%    |
| Apr-24 | 5%       | -3%  | 10%    | 6.6%   | 5%    |
| May-24 | 5%       | 2%   | 3%     | 3.1%   | 5%    |
| Jun-24 | 5%       | 4%   | 9%     | -0.6%  | 5%    |
| Jul-24 | -1%      | -4%  | 5%     | -0.9%  | 0%    |
| Aug-24 | 3%       | 6%   | 0%     | 6.1%   | 5%    |
| Sep-24 | 6%       | -1%  | -5%    | 7.2%   | 4%    |
| Oct-24 | -5%      | 4%   | 0%     | 4.8%   | 1%    |
| Nov-24 | -1%      | 5%   | 0%     | 5.2%   | 5%    |
| Dec-24 | -4%      | -1%  | -12%   | 6.0%   | -1%   |
| Jan-25 | -4%      | -4%  | -7%    | 6.4%   | 0%    |
| Feb-25 | -7%      | -12% | -11%   | 4.6%   | -4%   |
| Mar-25 | 0%       | -6%  | -2%    | 11.3%  | 3%    |
| Apr-25 | 1%       | -5%  | -4%    | 4.8%   | 3%    |

|        | 100 - 220 KDWT | 25 - 100 KDWT |        | Far East | India + MEG | SEA   |
|--------|----------------|---------------|--------|----------|-------------|-------|
| Jan-24 | 0.8%           | 4.2%          | Jan-24 | 8.3%     | 7.2%        | 22.2% |
| Feb-24 | 4.8%           | 11.8%         | Feb-24 | 3.3%     | 16.3%       | 22.9% |
| Mar-24 | 4.4%           | -3.4%         | Mar-24 | 1.5%     | 11.9%       | 14.1% |
| Apr-24 | 4.2%           | 5.8%          | Apr-24 | 5.0%     | 4.2%        | 35.1% |
| May-24 | -0.3%          | 6.9%          | May-24 | 4.2%     | 4.2%        | 18.4% |
| Jun-24 | 5.5%           | 7.2%          | Jun-24 | 2.6%     | 2.0%        | 7.3%  |
| Jul-24 | -0.5%          | 1.2%          | Jul-24 | 5.3%     | 8.9%        | 19.7% |
| Aug-24 | 6.0%           | 3.2%          | Aug-24 | 1.3%     | 2.8%        | 12.7% |
| Sep-24 | 3.3%           | 1.9%          | Sep-24 | 0.0%     | -2.2%       | 16.4% |
| Oct-24 | -7.1%          | 8.4%          | Oct-24 | 5.0%     | -4.3%       | 18.3% |
| Nov-24 | 5.3%           | 6.0%          | Nov-24 | 1.8%     | -9.7%       | 13.5% |
| Dec-24 | -5.5%          | -1.7%         | Dec-24 | 5.6%     | -0.9%       | 11.0% |
| Jan-25 | -3.3%          | 0.7%          | Jan-25 | -8.4%    | 10.9%       | 11.2% |
| Feb-25 | -5.8%          | -8.8%         | Feb-25 | -10.8%   | 0.1%        | 9.2%  |
| Mar-25 | -1.5%          | -1.5%         | Mar-25 | -7.2%    | -0.7%       | 9.1%  |
| Apr-25 | -0.2%          | -3.7%         | Apr-25 | -1.7%    | 3.6%        | 6.0%  |



## MACRO ECONOMIC OUTLOOK

This page gives brief comments on what the charts on the next page tells us.

Top left chart:

Comment from our previous report in early April:

*China's total social financing growth seems to have turned a corner. The Chinese government will be incentivized to continue stimulus efforts given the current situation. However, as written initially in this report, massive trade barriers mean the usual stimulus measures will only lead to high inflation; thus, the potential demand upturn will be highly short-lived.*

China's credit growth keeps increasing, and we expect that to continue going forward. Further, Trump went back on his embargo policies, which also helps a great deal.

Top right chart:

Through the first four months of this year, China's economic growth index has averaged -2.8%, compared to -2.1% for all of 2024.

Steel and iron ore demand is growing more strongly, however.

Middle left chart:

Comment from our previous report from early April:

*The USDCNY year-on-year change continues to predict China's dry bulk import growth with high accuracy. The USDCNY suggests China's import growth will be around 0% this year.*

*The problem with currency indicators going forward is that Trump's policies could severely shake the foundations of the global monetary system. Counterparty risk is evident from the trading in US treasuries, as yields have risen since Liberation Day despite increasing expectations of Federal Reserve interest rate cuts.*

After the shock in early April, financial markets have calmed down, and both bond and currency markets are functioning as normal. By some measures, US government bonds have outperformed UK and German debt in the last months. The USDCNY lead suggest that China's import growth will average around 0% over the next 9 months.

Middle right chart:

Global interest rate cuts suggest 1 year TC rates will be higher during the second half of 2026 than what it has been in Q1. That implies at least the mid-teens for Kamsarmaxes.

Bottom left chart:

Given China's weak import growth, the global economic cycle is not suggested to bottom before Q1 2026.

Bottom right chart:

The dollar index have weakened in the last months, which suggests global dry bulk demand could improve from the current low levels. Sometimes, the dollar index acts as a leading indicator to total demand growth, by 3-6 months.



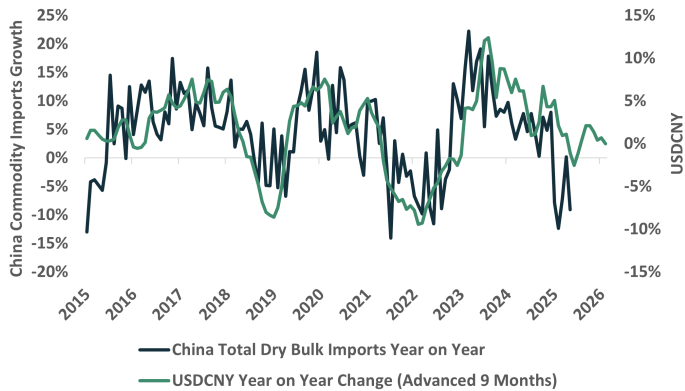
### Baltic Dry Index Year on Year Change vs China Credit Growth (12 Months Lead)



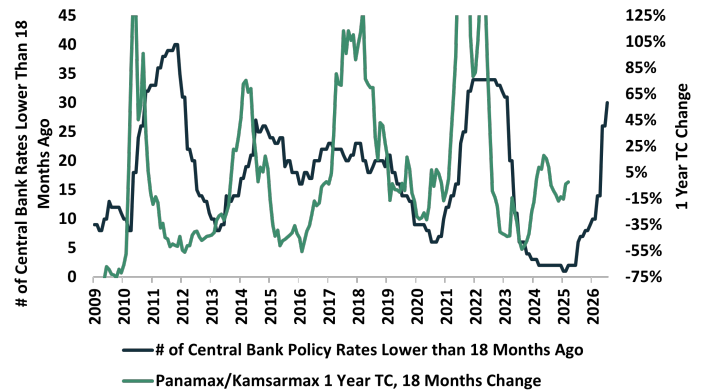
### China Economic Growth Index vs Global Dry Bulk Shipments Growth



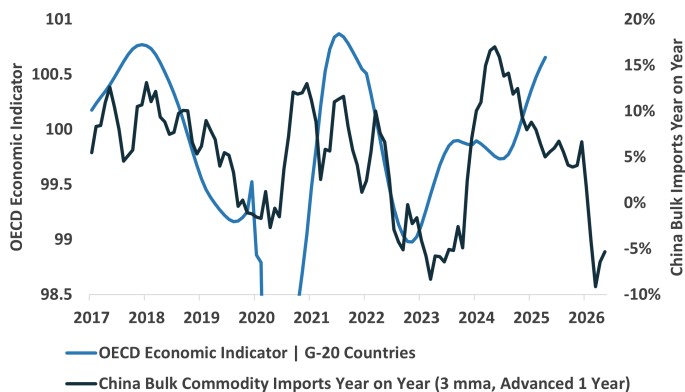
### USDCNY YoY, 9 Months Lead vs China Bulk Commodity Imports YoY



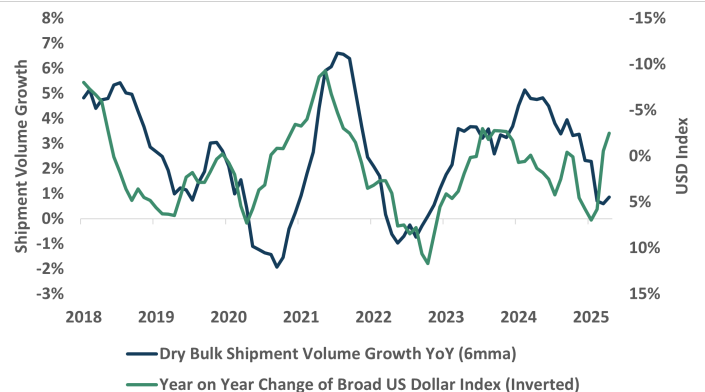
### # of Central Bank Rates Lower than 18 Months Ago, vs Pmx/Kmx 1 Year TC 18 Months Change



### China Bulk Imports Growth (12 Months Lead) vs OECD G-20 Economic Indicator



### Broad US Dollar Index Year on Year vs Dry Bulk Shipment Volume Growth



FRED, OECD, S&P Global, MySteel, AxsMarine, Baltic Exchange



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